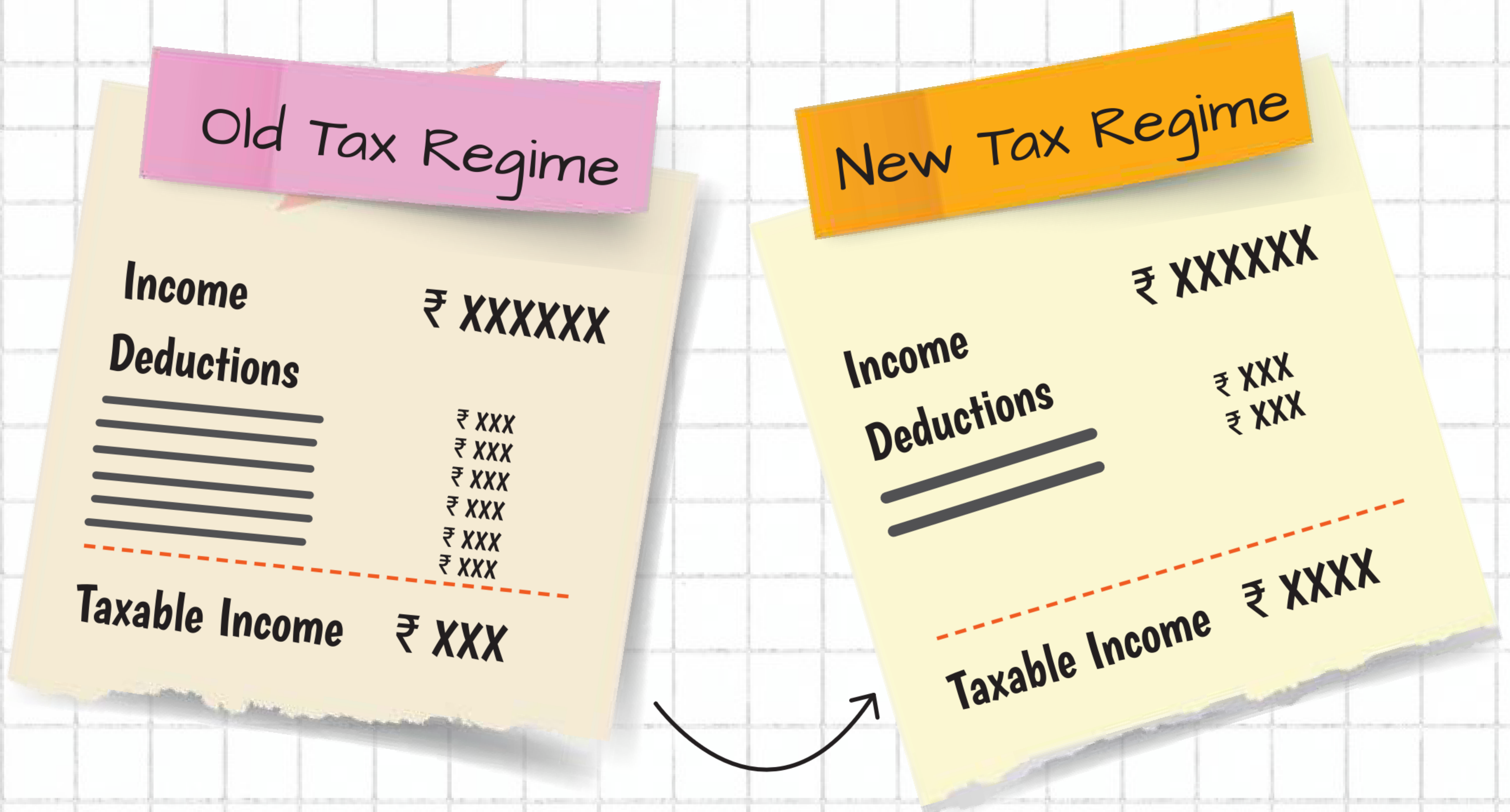


2. Old Tax Regime vs. New Tax Regime

Before 2020, there was only one regime according to which taxes would be filed. Under this regime, we have a lot of deductions and exemptions (around 70!). These deductions helped us lower our taxable income and, in turn, pay less tax.

But in April 2020, things got interesting!
The government introduced the "New Tax Regime".



The New Tax Regime has Lower Tax Rates, which meant potentially paying less tax even without deductions. However, this regime doesn't allow most of the old deductions & exemptions anymore. Starting from financial year 24-25, the New Regime becomes the default option. But don't worry, you still have a choice to choose any of them! You can stick with the familiar Old Regime and its perks, or embrace the streamlined simplicity of the New Regime with its lower rates.

But which one is right for you?

To help you decide, first let's compare the tax slabs of the regimes!